

24STCV14969 24STCV14969

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Case Number: 24STCV14969 Hearing Date: September 28, 2026 Dept: 732

Newgen Capital, LLC v. Paul Hemming, et al.

Monday, September 28, 2025

CASE NUMBER: 24STCV14969

OPPOSED

Defendants Paul

Hemming, Wendy Hemming, Terrence Hemming, Wendell Jamon Jones, Realty One Group, Infinity, and Garfield Building LA, LLC's Motion to Expunge Lis Pendens

Facts:

This is an action for breach of contract and fiduciary duty. The Complaint alleges as follows. Plaintiff Newgen Capital, LLC ("Plaintiff") entered into a partnership with Defendants Paul Hemming and Wendy Hemming to purchase certain real property, and Plaintiff in the course of this partnership disclosed details of a proposed purchase deal to the Hemmings. (Complaint ¶¶ 11–15.) But the Hemmings then backed out of the purchase deal, and shortly thereafter bought the property for themselves. (Complaint ¶¶ 16–17.)

Procedural History: Plaintiff

filed the Complaint on June 27, 2023, alleging six causes of action:

1.

Breach of Contract

2.

Unjust Enrichment

3.

Breach of the Implied Covenant of Good Faith and Fair
Dealing

4.

Unfair Competition

5.

Breach of Fiduciary Duty

6.

Constructive Fraud / Constructive Trust

Defendants

filed the present motion to expunge lis pendens on August 31, 2026.

Plaintiff

filed an opposition on September 14, 2026.

Defendants

filed a reply on September 18, 2026.

Analysis

I.

MOTION TO

EXPUNGE LIS PENDENS

“A lis pendens is a recorded document giving constructive notice that an action has been filed affecting title to or right to possession of the real property described in the notice.” [Citation.] A lis pendens may be filed by any party in an action who asserts a ‘real property claim.’ [Citation.] Section 405.4 defines a “Real property claim” as ‘the cause or causes of action in a pleading which would, if meritorious, affect (a) title to, or the

right to possession of, specific real property’ ‘If the pleading filed by the claimant does not properly plead a real property claim, the lis pendens must be expunged upon motion under CCP 405.31.’ [Citation.]” (Kirkeby v. Superior Court of Orange County (2004) 33 Cal.4th 642, 647.)

“The potential for a notice of lis pendens to pour sand into the smooth gears of a real estate transaction has been well remarked in the cases.” (Gale v. Superior Court (“Gale”) (2004) 122 Cal.App.4th 1388, 1394.) “[T]he question of whether pleadings state a real property claim is tested by a “demurrer-like analysis” that centers on the adequacy of the pleading. [Citation.] It is strictly a binary process: If you properly plead a real property claim, you can file a notice of lis pendens; if you don’t, you can’t.” (Id. at p. 1395.)

Code Civ. Proc. section 405.32

provides that “[i]n proceedings under this chapter, the court shall order that the notice be expunged if the court finds that the claimant has not established by a preponderance of the evidence the probable validity of the real property claim.”

“Unlike other motions, the burden is on the party opposing the motion to expunge — i.e., the claimant-plaintiff — to establish the probable validity of the underlying claim. [Citation.] The claimant-plaintiff must establish the probable validity of the claim by a preponderance of the evidence.” (Howard S. Wright Construction Co. v. Superior Court (2003) 106 Cal.App.4th 314, 319.) “[T]he plaintiff must ‘at least establish a prima facie case. If the defendant makes an appearance, the court must then consider the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation.’ [Citation.]” (Ibid.)

Defendants Paul

Hemming, Wendy Hemming, Terrence Hemming, Wendell Jamon Jones, Realty One Group, Infinity, and Garfield Building LA, LLC (“Defendants”) move to expunge the lis pendens notice recorded on July 7, 2023, on certain real property known to the parties as the Garfield Building. Defendants argue that Plaintiff Newgen Capital LLC (“Plaintiff”) has not alleged a real property claim on this property, and cannot establish the probable validity of his claims. (Motion at pp. 6–14.)

Defendants argue that Plaintiff has pleaded only a request

for a constructive trust on real property that it contends belongs to a partnership alleged in the Complaint, which is not a real property claim as held in *BGJ Associates, LLC v. Superior Court* (1999) 75 Cal.App.4th 952. (Motion at pp. 7–8.)

Defendants' characterization of the holding in *BGJ Associates* is accurate. *BGJ* applied a line of cases holding that claims for the remedy of a constructive trust as a means of securing a prayer for damages were not “real property claims” under the *lis pendens* statute. (Id. at p. 970.) The court there addressed an alleged joint venture, and noted, “[T]his case is unlike any of the cases in the line from *Burger* to *Lewis*, because here plaintiffs do not seek a constructive trust remedy solely as “collateral” for money damages. In part they seek to be awarded title to the same specific real property, the property they bargained for, which is the subject of the same wrongful conduct giving rise to the constructive trust remedy in the first place.” (Id. at pp. 971–972.) The court ultimately held that even in such a case, no *lis pendens* was available: “In a case such as this where the pleading combines theories of liability for monetary damages and for a constructive trust, we hold that plaintiffs should not be able to maintain a *lis pendens*. The danger is too great that a *lis pendens*, which effectively renders the property unmarketable, will have the coercive effects condemned by the cases.” (Id. at p. 972.)

The difficulty with Defendants' argument as to the existence of a real property claim is “that the *BGJ Associates* court's approach has since been discredited.” (*Shoker v. Superior Court* (2022) 81 Cal.App.5th 271, 280.) The court in *Shoker* disapproved *BGJ* and held that the assertion of a constructive trust through a real property claim could proceed, notwithstanding the concurrent allegation of other claims for damages. (*Shoker*, *supra*, 81 Cal.App.5th at p. 283.)

Here, Plaintiff asserts a constructive trust claim, and claims for damages, but does not assert the former merely as a means of preserving the latter. Rather, the constructive trust is sought in order to return property that Plaintiff alleges was wrongfully taken from the alleged partnership. Defendants in reply do not address cases subsequently disapproving *BGJ*, and do not persist in arguing that the Complaint alleges no real property claim.

Thus Plaintiff may maintain the
lis pendens if he establishes the probable validity of his claims. These claims
rest upon the existence of a partnership agreement between Plaintiff and
Defendants Paul and Wendy Hemming. (Complaint ¶¶ 16, 22, 26, 39, 48.)
Defendants argue that no such agreement was formed. (Motion at pp. 9–11.)

“[T]he association of two or more persons to carry on as
coowners a business for profit forms a partnership, whether or not the persons
intend to form a partnership.” (Corp. Code, § 16202, subd. (a).)

The question of the
existence of a partnership depends primarily upon the intention of the parties
ascertained from the terms of the agreement and from the surrounding
circumstances. [Citations.] Ordinarily the existence of a partnership is
evidenced by the right of the respective parties to participate in the profits
and losses and in the management of the business. [Citations.] In ascertaining
the intention of the parties, where they have entered into a written agreement,
such intention should be determined chiefly from the terms of the writing.
[citation]. While the question of whether a partnership exists is to be
determined from the nature of the relation agreed upon rather than the name
which the parties have given to it, some weight must be given to the language
of the parties themselves. [Citations.] It is the intention as evidenced by the
terms of the agreement, and not the subjective or undisclosed intention of the
parties, that controls.”

(Eng v. Brown (2018) 21 Cal.App.5th 675, 694.)

Defendants argue that the evidence does not support the
existence of a partnership agreement to purchase real property at a specific
price, as alleged in the FAC. Defendants note that one of Plaintiff’s managing members testified at deposition that
no final purchase price had been agreed when the alleged partnership was
formed. (Viner Decl. Exh. F at pp. 238–239.) Defendant Paul Hemming describes
the meeting where the partnership agreement allegedly took place as operating
only on general terms, with no commitment to form a partnership. (P. Hemming
Decl. ¶ 5.) Plaintiff notes that shortly after this meeting Plaintiff
prepared a purchase proposal on the subject property the proposal listed only
Plaintiff as the buyer, and did not appear to account for any proposed
partnership contribution. (Viner Decl. Exh. J.) When Plaintiff subsequently
emailed Paul Hemming a different proposal with different terms (P. Hemming
Decl. Exh. B), he rejected it telephonically the same day. (Id. at ¶ 7.) And although Plaintiff characterizes

the agreement as one with both Paul and Wendy Hemming, Wendy never attended any meeting in which the proposed partnership on the building at issue in this litigation was discussed. (Viner decl. Exh. I at pp. 117–118.)

Plaintiff in opposition argues that it had long hoped to purchase the relevant property, and had devoted substantial work into pursuing it, including an offer in 2021. (Shahin Simon Neman (“Simon”) Decl. ¶ 4.) It presents a declaration of one of its managing members stating that Defendant Paul Hemming had approached Plaintiff to purchase property downtown in partnership with Plaintiff, and that Plaintiff in response revealed confidential details of the subject property and proposed transaction to him. (Simon Decl. ¶¶ 7–8.)

Plaintiff has not satisfied its burden to show a probability of success on its real property claims. Although Plaintiff argues that Paul Hemming agreed to enter a partnership to purchase the subject property, Paul Hemming denies such an agreement. The contemporaneous purchase proposal which did not include any mention of Defendants corroborates Defendants’ account. Additionally, Plaintiff’s account does not account for the position of Wendy Hemming, another alleged partner who did not participate in the discussions. Although Plaintiff makes an adequate showing that the parties were negotiating a partnership deal on the subject property, its evidence that such an agreement was ultimately reached is not persuasive. To the extent confidential information was disclosed during these negotiations, they were evidently disclosed in the hopes that Defendants would agree to the partnership terms proposed. They do not demonstrate that any such agreement was reached.

Accordingly, the motion to expunge lis pendens is GRANTED.

“The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney’s fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney’s fees and costs unjust.” (Code Civ. Proc. § 405.38.) Defendants here seek \$5,097.00 in fees, representing 3.3 hours and 4.5 hours of attorney work respectively conducted at \$665 and \$645 per hour. (Viner Decl. ¶ 10.)

No fees are awarded, as Plaintiff opposed the motion with

substantial justification.

Superior Court of California

County of Los Angeles

Department 732

NEWGEN

GAPITAL, LLC,

Plaintiffs

v.

PAUL HEMMING, et al.,

Defendants.

Case No.:

23STCV14969

Hearing Date: September 28, 2026

[TENTATIVE] RULING RE:

Defendants

Paul Hemming, Wendy Hemming, Terrence Hemming, Wendell Jamon Jones, Realty One Group, Infinity, and Garfield Building LA, LLC's Motion to Expunge Lis Pendens

Defendants

Paul Hemming, Wendy Hemming, Terrence Hemming, Wendell Jamon Jones, Realty One Group, Infinity, and Garfield Building LA, LLC's Motion to Expunge Lis Pendens is GRANTED. No attorney fees are awarded.

Defendants to give notice.

Dated: September 28, 2026

Hon.

Richard S. Kemalyan

Judge

of the Superior Court